

MARKET ANALYSIS

Pulte Is Buying Land, Not Office. That Is the Signal.

Finmarc's \$26.4M sale to a homebuilder shows office land is worth more as dirt than as income.

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A source-grounded Light Tower Insight. The complete note follows.

Finmarc Management sold an 83,300-square-foot office/flex building and 6.4 adjacent acres in Chantilly, Virginia, to Pulte Homes for \$26.4 million. Pulte plans to demolish the building and build 183 homes on the combined 14-acre site.

This is not a sale of office space. It is a sale of land that happens to have an office building on it. The building's value as income-producing real estate was lower than the land's value as a residential development site. That gap is the story.

Finmarc, a Bethesda-based investment company, bought the property at some earlier point in the cycle. It is now selling to a homebuilder at a price that reflects residential land comps, not office cap rates. The buyer is Pulte Homes, one of the country's largest homebuilders, which will convert the site into 126 townhomes, 32 condos, and 25 affordable and workforce units.

The transaction reveals a capital markets truth that is becoming more common across suburban office markets: the highest and best use of an office property is no longer office. When a homebuilder can pay more for the dirt than an office investor can pay for the cash flow, the asset class has a problem.

Consider the math. At \$26.4 million for 14 acres, the land price is roughly \$1.89 million per acre. That is a residential land price, not an office land price. An office investor underwriting a 7 percent cap rate on the existing building would need net operating income of roughly \$1.85 million per year. At 83,300 square feet, that implies rents around \$22 per square foot triple net. In Chantilly, that is achievable for flex space, but the building is aging and the market for suburban office is thin. The homebuilder's bid simply outcompeted the office buyer's bid.

This is not a distress sale in the traditional sense. Finmarc is not a forced seller. It is a sophisticated operator that recognized the land value exceeded the building value. The decision to sell is a rational capital allocation choice. But the fact that the rational choice is to sell to a homebuilder rather than hold for office income tells you something about the state of office demand in that submarket.

Northern Virginia's office market has been under pressure from federal government downsizing, defense contractor consolidation, and the shift to hybrid work. Chantilly, located near Dulles

Airport, is a submarket that thrived on defense and technology tenants. Those tenants are still there, but they need less space. The office building on this site was likely functionally obsolete for modern tenants. Rather than invest capital to reposition it, Finmarc chose to monetize the land.

The transaction also highlights a broader trend: homebuilders are becoming a source of liquidity for office owners. When office properties trade to residential developers, the price is set by the homebuilder's pro forma, not the office market's cap rate. That means the seller gets a premium over what an office buyer would pay, but the premium comes with a condition: the building has no future as office.

For lenders with office exposure in suburban markets, this is a useful data point. If a borrower cannot refinance because the building's value as office is below the loan balance, the lender's recovery may depend on the land value. That land value is a function of residential demand, not office demand. Lenders underwriting office loans in markets where residential conversion is feasible should stress-test their recovery assumptions against residential land comps, not office cap rates.

For owners of suburban office assets, the question is whether their building's land value exceeds its building value. If it does, the optimal strategy may be to sell to a homebuilder or multifamily developer rather than hold for a recovery in office leasing. That is a hard decision for an owner who bought the building as an office investment. But capital does not care about the original thesis. It cares about the highest return.

The Pulte-Finmarc transaction is not a harbinger of mass office conversions. Most office buildings are not on land zoned for residential development, and the economics of conversion are challenging. But in submarkets where the land is worth more as dirt than as office, the market is sending a clear signal. The question is which owners are listening.

SOURCES

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<https://rebusinessonline.com/finmarc-sells-office-building-land-in-northern-virginia-to-pulte-homes-for-26-4m/>